



DEALER BEST PRACTICE SERIES

Understanding the
Sarbanes-Oxley Act of
2002

Application Maintenance Site Management Component Rebuild Component Life Management Safety MARC Management

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1.0 Introduction

Off balance sheet accounting misdeeds of corporations during the 1990's were pivotal events that set the stage for governmental and investor outrage and the passage of the Sarbanes-Oxley (SOX) Act of 2002. The SOX act has dramatically heightened standards and penalties for U.S. reporting companies. This means that all companies listed on a U.S stock exchange – including those headquartered overseas – must demonstrate they have proper controls in place. Other governments, including the European Union and Canada, have followed with their own versions of “truth in reporting” legislation. These laws represent a shift from disclosure legislation to substantive regulation of procedures and practices. Companies are now required to file quarterly reports to the Securities and Exchange Commission to disclose “all material off-balance sheet transactions, arrangements, obligations (including contingent obligations), that may have a material current or future effect on financial condition, changes in financial condition, results of operations, liquidity, capital expenditures, capital resources, or significant components of revenues or expenses. Truth in reporting is now a global issue – MARC contracts may link customers, dealers and Caterpillar into a compliance partnership.

2.0 Best Practice Description

This Best Practice is intended as guidance to help businesses understand the objectives and components of any truth in reporting legislation such as Sarbanes-Oxley and appreciate the need to evaluate all contracts as well as their internal processes and procedures. This is a high level guide and does not replace the need to understand parent company requirements, local and national governmental statutes, or any rules related to industry or site of operations.

3.0 Implementation Steps

A. A business must understand the objectives of Sarbanes-Oxley. Financial control must be in place to ensure:

- An asset or liability *exists* at a point in time.
- The transaction *occurred* within the period reported.
- The asset, liability, expense or revenue item is *measured* or *valued* appropriately.
- The financial statements are *complete* without undisclosed items or omissions.
- The company has the *rights* to all assets and the *obligations* of all liabilities.
- All amounts are *presented and classified* appropriately.

B. Understand how Sarbanes-Oxley impacts a business

Six areas where SOX impacts a business are:

- Reporting / Accountability: Leadership must now certify in writing that financial statements are presented fairly and have NO untrue statements or omissions of material facts. Management has the responsibility for having an adequate system of internal controls to protect integrity of the numbers reported.
- Audit Committee: There must be an experienced audit committee that is made up of independent directors.
- Conduct: Companies must have a published code of conduct with protection for whistleblowers.

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- Penalties: It is now a criminal offense for leadership to issue fraudulent financial statements.
- Independence: Auditors must be fully independent, cannot perform any other function for a company and cannot accept employment for one year removed from the engagement.

C. Evaluate your risk management process.

- Risk management means that companies have accurate and tested control systems in place that allow for almost real time capture of important data and identification of problems. Risk arises as a consequence of the day-to-day choices employees make, and these choices are a consequence of the environment in which they work and the ways they are monitored and compensated.
- Understand the control environment. This comes from the top down. There are six components of environment: integrity and ethical values, commitment to competence, management philosophy and operating style, organizational structure, assignment of authority and responsibility, and human resource policies and practices.
- Review your internal and external risk. There are 7 components of risk. Risk can come from new technologies, information systems, new personnel, rapid growth, new product, restructuring, or foreign operations.

D. Evaluate the control components.

- Control activities – *“how you do it.”* There are 3 areas of control activities. The first is the preventative, detective and corrective controls. The second is the organizational controls that ensure there is adequate segregation of duties. Lastly is the system design, with consideration for both location and controls aspects.
- Information and communication – *“Are you getting what you need?”*. The review can be summed up as yes or no questions. Do you get the right data? Did you communicate the data? Is the data in the right form? Did you get the data in the right time frame? Yes to all of the questions means people get what they need.
- Monitoring. – *“Is anybody paying attention?”* There must be an assessment of the quality of internal controls over time. Detection and timeliness of response is key. Response is better done before an audit.

E. Evaluate your control objectives.

- Companies usually have controls related to operational objectives. MARC objectives could include fleet availability, contract costs, component lives, labor costs etc. Controls over processes to report accurate operational metrics are the cornerstone of providing reliable financial information. Reliable financial information brings compliance.

F. Understand financial reporting requirements.

- Entities must disclose information that is reasonably likely to have a material effect on financial condition or results of operations. One key candidate for review is related to off-balance sheet arrangements. MARC contracts usually include clauses and verbal agreements that must be reviewed continuously to ensure compliance. Below are some examples, but is not limited to:

1. Risk sharing techniques
2. Penalties

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3. Make well clauses.
4. Betterment clauses.
5. Environmental liabilities
6. Transfer of assets during and at end of contract.
7. Rebates.
8. Availability clauses.
9. Verbal agreements.

G. Understand disclosure thresholds.

- If a Liability or loss is “probable”, the amount can be estimated, and should be recorded on the books.
- If a potential loss is deemed “probable” but the amount cannot be reasonably estimated then no liability is booked but disclosure is required to inform users.
- If the loss is deemed “remote” then no recognition or disclosure is required.

H. Disclose items related to material off-balance sheet arrangements.

- The nature and business purpose of the entities off-balance sheet arrangements.
- The importance of the off-balance sheet arrangement to the company for liquidity, capital resources, market risk or credit risk support or other benefits.
- The financial impact of the arrangements on the company revenue, expenses, cash flows and the companies exposure to risk as the result of the arrangements.
- Known events, demands, commitments, trends or uncertainties that may affect the availability or benefits to the registrant of material off-balance sheet arrangements.

4.0 Benefits

Avoidance of penalties and protection of the company’s reputation.

- It is now a criminal offense to certify, corrupt, alter, or destroy documents or audit records. Should financial statements ever be re-stated after issue, CEO’s and CFO’s have to surrender monetary bonuses that were paid based on the statements released. They could also be barred from serving in those positions in the future. Fraud means automatic prison term for 25 to 30 years.
- Protection of company reputation. Civil lawsuits have been filed by stockholders for loss of stock value based on admitted lack of internal controls.
- Reviewing your contracts, internal controls & operational processes is a wise businesses practice and is an attribute of a successful company.

5.0 Resources Required

Risk management and process control must be accepted and receive involvement from all disciplines in an organization. Examples of key process would include but are not limited to:

- Finance and accounting.
- Human resources.

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- Contract managers.
- Marketing.
- IT Systems.
- Operations.
- Top Management.
- Independent auditors.
- Local and national accounting standards.

6.0 Supporting Attachments / References

Sarbanes-Oxley and MARCs 2007.PDF

Additional information from:

Sarbanes-Oxley Act of 2002.

Securities and Exchange Commission: Various releases including 33-8182: 34-47264; FR-67.

Report on Contract Risk Management: provided by Protiviti Risk Consulting.

Discover the Hidden Benefits of Sarbanes-Oxley, by Sun Microsystems Financial Site.

File Under 'Nightmare' CFO.com web

Sarbanes-Oxley, Corporate Governance and Operational Risk: by Alan Morrison, University of Oxford, Sarbanes-Oxley Seminar July 22, 2004.

US GAAP Accounting Standards Board.

7.0 Related Best Practices

None at this time.

8.0 Acknowledgements

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